Disruption_X

August 2025

How to dodge "dud" disruptors… plus, our new AI pick

When Chris and I (Stephen) created *Disruption_X*, we had one goal in mind:

Help you profit from small, world-changing companies inventing the future—while sidestepping the landmines along the way.

But here's the truth: Most so-called disruptors are duds.

They've got flashy marketing and futuristic promises… but beneath the surface, there's no real business, no sustainable growth, and no shot at long-term success.

Over 20+ years in markets has taught Chris and I that avoiding the big losers is just as important as finding the big winners.

In this month's issue

That's why we built a framework for identifying the red flags that almost always lead to disaster. It's the same checklist we use before recommending any stock in *Disruption_X*.

And this month, we're sharing it with you.

We also have a brand-new artificial intelligence (AI) stock recommendation for you this month. Let's start by going through our five-point checklist…

Red flag #1: A story without a scoreboard (hype vs. reality)

Every great disruptor has a compelling story. But a compelling story alone doesn't make a great investment.

Many are just "story stocks." All sizzle, no steak.

Falling for hype is one of the most common traps in investing. Investors get mesmerized by a vision of the future without checking the scoreboard today.

The classic example is the 3D printing boom of 2012. The story was irresistible: a "factory in every home" that would revolutionize manufacturing. I remember pessimists calling for 3D printing bans, as it would allow everyone to print their own guns.

Stocks like **3D Systems Corp. (DDD)** soared over 6,000% on the sizzle. The reality? The machines cost six figures and were mostly used to print plastic trinkets. The hype was a decade (or two) ahead of the business.

When Wall Street finally noticed, 3D printing stocks fell 90% and never recovered, wiping out countless investors.

Chris and I look for a track record of fast, sustainable revenue growth (ideally 20% or more) over several quarters. Revenue is the ultimate reality check. It's proof that real customers are paying real money for a product because it solves a real pain point.

I'd much rather invest in a company with actual sales at a higher valuation than a startup with nothing to show but a good story.

Decades of collective investing experience has taught Chris and I the upside for a *proven* disruptor is essentially unlimited.

Red flag #2: Valuation in the stratosphere

Sometimes even a great company can be a terrible stock.

This happens when the stock price becomes completely detached from any reasonable projection of future profits. When the price already reflects a decade of flawless success, you're left with all the risk and none of the reward.

In *Disruption_X*, we use our proprietary GARP Quotient to sidestep stocks with valuations living on planet Mars. We built it to replace the old price-to-earnings filter because many great disruptors reinvest every nickel into growth.

The simple GARP Quotient formula is (Price-to-Sales Ratio) ÷ (Revenue Growth Rate).

Just divide the P/S ratio by the company's growth rate (as a whole number). If a stock trades at 20X sales and is growing at 40%, its GARP Quotient is 20 ÷ 40 = 0.5.

We look for a score below 1.0, and ideally below 0.5. This simple formula is our guardrail. It keeps us disciplined and prevents us from chasing a stock to the moon.

Red flag #3: A feature, not a business

Some of the most seductive disruptors are built around a clever new feature, not a defensible business. The innovation is real, but it can be easily copied by a larger player.

Imagine a startup building a fantastic photo-filter app that goes viral. This is a feature.

What's to stop **Apple (AAPL)** from building the same functionality into the iPhone? Or Instagram from rolling out a similar filter set? The company in question has no moat. It's a tenant in someone else's ecosystem.

Remember GoPro?

It created a whole new category with its tough, mountable cameras that captured incredible action shots. The stock was a Wall Street darling.

But as smartphone cameras became astonishingly good and more durable, the need for a dedicated action camera shrank. The "feature" of a great portable camera was absorbed by the ultimate platform: the smartphone in your pocket. Drone companies like DJI also started building incredible cameras directly into their products.

The result was GoPro's stock collapsing 98% from its highs.

That's why Chris and I hunt for platform technologies.

A platform technology is the foundation of an industry or a whole new way of doing things. It often provides the infrastructure or ecosystem that enables other entities (such as developers, businesses, or users) to create and grow.

Take **Nvidia (NVDA)**, for example. It doesn't just make a cool chip; its CUDA system is the platform for the entire AI revolution. Amazon Web Services provides the cloud infrastructure half the internet runs on. These companies have deep, wide moats.

That's why we avoid the companies that just have cool features… and invest in those building platform technologies.

Red flag #4: A money-shredding business model

The company has a great idea, a real market, and a product that works. But the underlying economics of the business are flawed.

The poster child is Webvan from the dot-com bust. The idea was visionary: order groceries online and have them delivered to your door.

The problem? The business model was a disaster. The cost of the refrigerated trucks, drivers, fuel, and complex logistics meant Webvan lost money on every single order.

Blue Apron is a more recent example. It pioneered the meal-kit delivery service, sending boxes of pre-portioned ingredients and recipes to people's homes.

Great idea, lousy business. It had to spend a fortune on marketing to get folks to try its service. The company was spending, for example, $100 in marketing to acquire a new customer. But that customer would only generate $80 in profit before canceling.

Think about that. It was a machine designed to destroy capital. The more it "succeeded" by growing sales, the faster it burned through cash!

Blue Apron IPO'd at a $2 billion valuation in 2017. It went down in a straight line before being bought out for $100 million in 2023.

Chris and I take great care to look at the unit economics. Does the company make money on *one* transaction? If they sell a product for $10, how much does it cost them to make and deliver it?

If a company cannot make money on its core transaction, it has a hobby, not a business. A red flag of the highest order.

This is why we make sure the companies we recommend are either profitable or "intentionally unprofitable."

An intentionally unprofitable company—like **Amazon (AMZN)** for its first decade—has a profitable core business but chooses to reinvest every penny of gross profit back into growth. That's a sign of strength and a hallmark of some of the best disruptors in history.

A company that is *unintentionally* unprofitable because its business model is flawed is a sign of fatal weakness.

Red flag #5: The "SBC" scam

This is a critical red flag many investors miss because it's hidden in the financials.

A company's management team often pays itself and its employees with massive amounts of stock. This is called stock-based compensation (SBC).

Problem is, under standard accounting, this isn't treated as a real cash expense. But it's a very real cost to you, the shareholder, because it dilutes your ownership stake. A company can look profitable on paper while its shareholders are getting diluted into oblivion.

As Warren Buffett says, "If compensation isn't an expense, what is it? And, if real and recurring expenses don't belong in the calculation of earnings, where in the world do they belong?"

When we see glossy slide decks full of alphabet soup like "community-adjusted EBITDA" while the actual cash in the bank is vanishing, we know there's a problem.

Take **Snowflake (SNOW)**.

To attract the best engineers in a hyper-competitive industry, Snowflake pays them huge amounts of stock. Last year, it awarded $1.48 billion worth of stock to employees. That wipes out Snowflake's supposed $913 million "profit" it recorded in 2024.

Investors only looking at Snowflake's numbers on the surface have a completely misleading view of its true profitability.

You can't fake cash. This is why we created our own metric: **Real Cash Flow (RCF)**. We simply take a company's cash flow and subtract the cost of stock-based compensation to see the *true* money left over for owners.

A company generating strong RCF is truly profitable. A company with huge cash flow that evaporates after you account for SBC is playing a shell game with your money.

Now, I'll hand you over to Chris to tell you about our latest portfolio addition…

Diagnostic testing is about to get a lot smarter

Doctors have treated me (Chris) for all sorts of maladies over the years…

Broken bones, torn cartilage and ligaments, concussions, viruses and bacterial infections, type 2 diabetes, and heart arrhythmias, to name several.

In every case—whether it was an MRI, CT scan, traditional X-ray, ECG, tissue sample, blood test, or something else—doctors have relied on certain examinations or tests to inform my care.

I'm not special. Diagnostics like this drive most decisions doctors make when treating patients.

When I say "diagnostics," I'm talking about all the various examination techniques and tests doctors use to determine what ails you, including things like:

- Listening to your heart and lungs with a stethoscope.
- Checking your blood pressure.
- Sophisticated internal imaging scans.
- High-tech genomic tests that read your DNA to find cancer-driving mutations.

Thanks to diagnostics and my doctors' expertise—along with drastic lifestyle changes—I'm healthier today at 46 than I was at 26.

Again, I'm not special. Countless folks have reaped the rewards of modern medicine. And advancements in diagnostics are a big reason why life expectancy in the US has basically doubled in the past 150 years.

But there's still a big problem standing in the way of even better patient care: As good as modern diagnostics are, they're still "dumb."

Let me explain.

Technology enables the healthcare sector to collect data at an unprecedented scale, but most of that data gets stuck in separate computer systems and can't easily be shared or compared. This happens because different hospitals and clinics use different rules and formats for data collection and storage.

Plus, a big chunk of this data is messy and not easy to sort or categorize—like handwritten or typed notes from doctors, or pictures from medical slides that aren't turned into computer files yet.

Because of this, information about patient outcomes (whether they got better or worse) typically isn't connected (or linked) to the data from the diagnostics that were used on them.

That's like taking measurements for a science experiment but then losing track of what happened at the end—so you can't learn what did or didn't work.

The whole situation means that even though mountains of medical data are created and collected every day, doctors can't use it to help patients because it's all scattered, disorganized, and disconnected.

It also means organizations can't leverage the power of AI to make sense of all that medical data and unlock insights hidden in it.

But a company called **Tempus AI (TEM)** is changing all that. It's developed an AI-powered platform that frees medical data from its shackles and an operating system to make it useful.

The platform allows Tempus to bring AI into medicine in ways that have never been possible before and make diagnostics "intelligent."

See, diagnostic tests tend to look at just one type of data without considering the rest of the patient's story for context.

In cancer, for example, a "dumb" diagnostic might identify a genomic biomarker that shows a breast cancer patient could benefit from a HER2 inhibitor drug like Herceptin.

That's a big improvement from the days before such tests and targeted cancer therapies, when treatment options were limited to slash (surgery), burn (radiation), and poison (chemotherapy).

But it's still not ideal.

There could be other important data not linked to the diagnostic, like evidence the patient is at high risk of a heart attack from taking a HER2 inhibitor… or that she would benefit more from taking a different drug *before* or *alongside* the HER2 inhibitor.

An "intelligent" diagnostic would be able to recommend specific therapies based on the patient's comprehensive profile (or entire story), rather than just the one piece of data captured by the "dumb" diagnostic.

That's exactly what Tempus is fixing—turning today's disconnected diagnostics into intelligent, AI-powered tools that improve real patient outcomes.

A three-headed approach with built-in network effects

The billionaire co-founder of **Groupon (GRPN)**, Eric Lefkofsky, founded Tempus in 2015 after doctors diagnosed his wife Liz with breast cancer and he saw firsthand how antiquated cancer care was from a technology and data perspective.

The tech to sequence Liz's tumor's DNA existed. Electronic medical records existed. And treatment data from millions of patients existed. But nobody had connected these pieces together in a way that could tell doctors what would actually work for her specific cancer.

This wasn't just Liz's problem. It was everyone's problem.

Starting Tempus was like trying to build a time machine, except instead of traveling through time, Lefkofsky wanted to capture it—specifically, the collective medical experiences of all cancer patients who had been treated in the past.

If you could somehow remember every patient, track every treatment, record every outcome, and then use AI to find patterns humans could never see, you could finally answer the crucial question: What will work for THIS patient?

The first breakthrough came when Tempus developed technology to ingest and make sense of all types of medical data at unprecedented scale. Genomic sequencing data… pathology images showing what tumors looked like under the microscope… radiology scans tracking how tumors grew or shrank… complete patient treatment histories… even clinical notes capturing subtle observations noticed by doctors.

Before long, Tempus' AI-powered platform began finding patterns that amazed even seasoned oncologists.

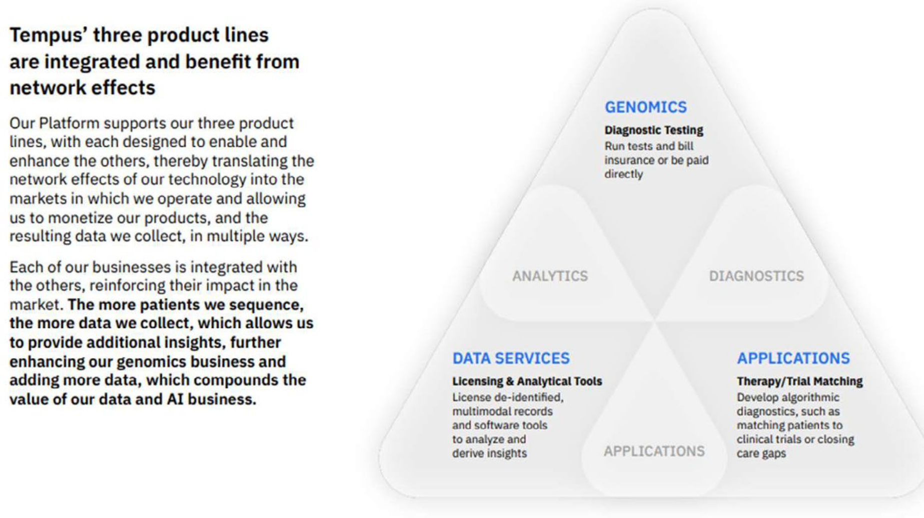
It could predict which patients would respond to certain therapies. It could identify rare genetic mutations that changed everything about how a specific cancer should be treated. And it could match patients to clinical trials they never would have found on their own.

Word of the platform's prowess spread through the medical community, and doctors who had been skeptical began ordering Tempus tests. Hospitals started integrating the platform into their electronic medical records. And with each new patient, each new test, each new data point, the AI grew (and continues to grow) smarter.

What began as one entrepreneur's frustration with his wife's cancer care has evolved into a platform that Nobel Prize-winning biochemist Jennifer Doudna—co-inventor of the revolutionary gene-editing tech CRISPR-Cas9 and a Tempus AI board member—calls essential for the future:

> I look forward to working with the Tempus team as they continue to apply technology and artificial intelligence to healthcare, deploying intelligent diagnostics that enhance research, empower physicians, and positively change the lives of patients.

Today, Tempus is a three-headed beast where each head makes the others more powerful.



Source: Tempus AI

The company's first head is **Genomics**—the intelligent diagnostic testing business that reads patients' genetic information (DNA/RNA) to guide their care.

For example, if a patient has cancer, doctors can send a small piece of tumor tissue to one of Tempus' three state-of-the-art labs. There, the company sequences the tumor's DNA to identify the mutations (genetic changes) driving the cancer.

Based on those findings, Tempus provides doctors with a detailed genomic report that includes AI-informed insights about which treatments might work best or which clinical trials the patient could join.

It's like reading the tumor's instruction manual and then using an all-knowing AI advisor to recommend the most effective tools (drugs or other treatment modalities) for that specific cancer.

Tempus offers several other tests—like its xF liquid biopsy—which can detect tiny amounts of cancer DNA in patients' blood. All it requires is a simple blood sample, and it can tell doctors things like:

- The specific mutations driving tumor growth.
- Whether the cancer has undergone changes that make it more resistant to certain treatments.
- If the cancer is showing signs of metastasis (spreading throughout the body).
- How aggressive the cancer is.

You can think of it like a genetic radar system scanning the blood for clues about the cancer's behavior, vulnerabilities, and evolution. It's especially powerful for patients with advanced or hard-to-biopsy tumors.

Meanwhile, through its recent acquisition of Ambry Genetics, Tempus added a large menu of hereditary genetic tests that look for inherited genetic mutations associated with diseases beyond cancer.

It's important to note that every genomic test Tempus runs not only helps that patient but also adds important data to its library to improve the AI.

For example, if a patient's tumor has a rare mutation and the doctor reports how that patient responded to a certain drug, that information goes into the AI knowledge base. Down the line, if another patient has the same mutation, Tempus' AI will "remember" what was learned earlier and suggest the effective drug (or warn doctors if a drug didn't work).

So the Genomics business is both a revenue generator and a data generator, which is key to Tempus' strategy. In the second quarter of this year alone, Tempus performed 212,000 diagnostic tests, which generated $241.8 million in revenue for the Genomics business.

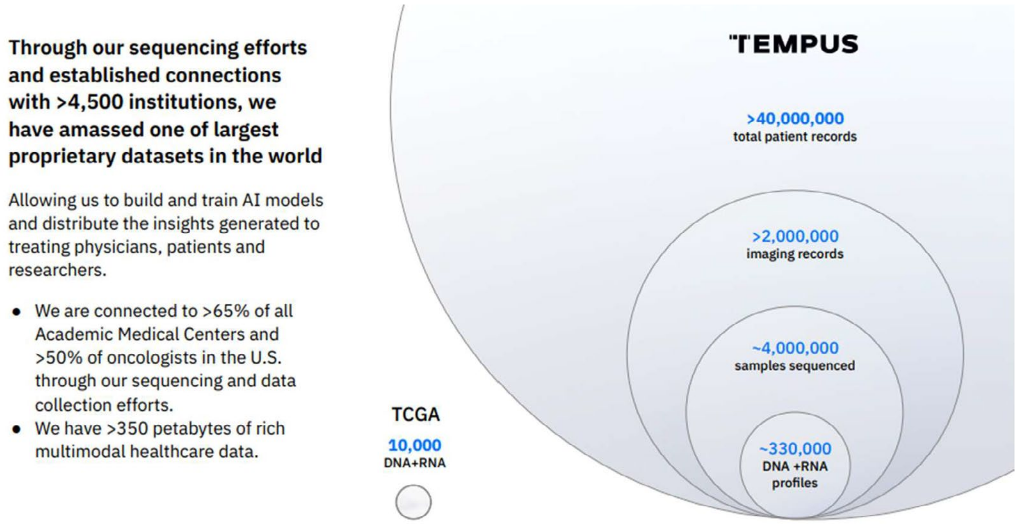
Tempus' second head is **Data & Services—**the intelligence engine that monetizes the company's vast repository of medical data by offering it to customers.

As I mentioned above, the data created from the genomic tests doesn't just help the patients being tested. It becomes part of one of the world's largest real-world evidence databases, which Tempus licenses to biopharma companies, academic researchers, and healthcare systems to help them discover and develop new drugs and find patients for their clinical trials.

In April 2025, for example, Tempus inked an expanded strategic partnership with biopharma giant **AstraZeneca (AZN)** and Pathos AI to develop the world's largest AI model for cancer using Tempus' data.

Tempus will receive $200 million in data licensing and model development fees from the deal. And the three companies will share ownership of the model to "unlock new drug targets, accelerate therapeutic development, and drive personalized care."

Here's a snapshot showing some of the specifics of Tempus' proprietary data repository, which comprises more than 40 million patient records and over 350 petabytes of data.



Source: Tempus AI

To give you some sense of the data repository's size, 350 petabytes is equivalent to about 6,000 years of nonstop, high-def video streaming on Netflix.

Remember, AI is only as good as the data you feed it. And Tempus has unmatched data, from what I can tell.

That's why 19 of the top 20 largest biopharma companies in the world are working with Tempus… and why industry giants including AstraZeneca and **GSK plc (GSK)** have paid the company hundreds of millions of dollars to access that data. Tempus' Data & Services business generated $72.8 million in the second quarter of this year alone.

The company's third head is **AI Applications**—the suite of AI tools and algorithms Tempus has developed on top of its platform.

This is where Tempus takes everything it's learned and puts it directly in doctors' hands through revolutionary tools like Tempus One, which is like a medical Siri or Alexa (but a lot smarter) that understands natural language queries.

If Tempus' Genomics business is about generating data and its Data & Services business is about sharing data, the company's AI Applications business is about actively using that data and AI to deliver insights and improve workflows for doctors and researchers.

The AI Applications business isn't generating significant revenue yet, but the company has begun monetizing some of these tools through early-stage subscriptions and pilot deployments, and the potential for subscription fees a little further down the road is huge.

Here's what I love about Tempus: The "three heads" aren't really separate businesses.

Each one makes the others stronger. More genomic tests creates more valuable data, which makes the AI smarter, which makes the tests and apps more valuable, which attracts more biopharma customers and partnerships, which funds more AI development, which leads to doctors ordering more tests. Rinse and repeat.

It's a virtuous cycle of network effects. And it's accelerating.

Tempus AI's path to profits

Tempus could be profitable today, but it's investing $250 million to $300 million per year in research and development (R&D) to improve the platform and grow the business. That's exactly what I want to see from our *Disruption_X* companies.

Speaking of growth, total revenue jumped 89.6% year over year in the second quarter of 2025 to $314.6 million. I must note that a good chunk of that growth came from the Ambry Genetics acquisition I mentioned earlier, which closed in February 2025.

Ambry contributed $97.3 million in revenue to Tempus' Genomics business in the second quarter, while the Tempus side contributed $133.2 million. If we look at the two sides separately, we see the Tempus side grew 32.9% year over year in the second quarter and the Ambry side grew 33.6%.

The combined company's total revenue hit $952 million over the past year. And I think Tempus can grow revenue at a compound annual rate of at least 35% for the next few years.

Using that forecasted growth rate, I calculate a GARP Quotient of 0.40. That's firmly in the "Great" tier we talked about in *The Growth Stock Anomaly* special report. It indicates the stock is attractively priced for its growth.

Now, as bullish as I am on Tempus and its ability to continue to disrupt healthcare, I must mention some ongoing litigation between it and fellow diagnostic test provider **Guardant Health (GH)**.

In June 2024, Guardant filed a suit in federal court alleging that some of Tempus' cancer diagnostic tests infringe on Guardant's US patents related to DNA-based "liquid biopsy" cancer testing.

Opinions vary on the strength of Guardant's case. It is a liquid biopsy pioneer, but Tempus of course denies any wrongdoing and insists its technology is based on its own R&D.

Tempus' goal in court will be to invalidate Guardant's patents or show that its approach is different. But you never know how these things are going to go.

Meanwhile, in March 2025, Tempus fired back with its own suit against Guardant for infringing its patents on certain research techniques.

The most logical outcome to this whole situation is some sort of cross-licensing deal to settle the cases rather than risk letting the courts decide. That sort of resolution is common in complex biotech suits like these. But what's common or logical doesn't always prevail.

As long as the feud is ongoing, it's going to hurt both companies in terms of legal fees and sucking up time from executives that would be much better spent working on the business.

There's also the risk of a big judgement that could be in the realm of several hundred million dollars if the courts are left to decide the matter.

I don't think the situation is a deal-breaker when it comes to investing in Tempus' stock, but it's something you need to be aware of. And it's the reason I'm recommending you only purchase one-half of a position in Tempus today.

We'll plan on buying our second half when we have some clarity about how this might shake out.

Action to take: Buy one-half of a position in Tempus AI (TEM) at current market prices. Wait for future guidance to buy more and to set a stop.

The 5 fastest-growing power stocks

America needs a lot more energy generation, and we need it fast. New AI systems consume awesome amounts of power. According to private equity firm Apollo, data centers will need 18X the power they currently consume by 2030.

In other words, the US needs to add three "New York Cities" worth of power generation in the next five years just to meet data center needs.

We invested in **Digi Power X (DGXX)** in May specifically due to its ability to power its data centers with in-house power plant infrastructure.

Mirion Technologies (MIR), in our *Disruption Investor* portfolio, makes monitoring systems to help nuclear reactors reach peak operating efficiency. We need these critical energy technologies to meet AI's growing power demand.

This month, we're focusing on fast-growing disruptors that shape how we generate, store, or use energy. These innovators will help update our energy infrastructure to reliably supply AI's growing power demand.

As a reminder, the stocks we target have a market cap between $200 million and $20 billion. These stocks trade on American exchanges, but they aren't necessarily American companies.

We also include their raw GARP Quotient based on their most recent quarterly revenue to give an idea of how fairly valued they are.

As Stephen said earlier, we're looking for stocks with a GARP Quotient under 1.0… and the lower, the better. None of these stocks pass that criteria today.

1. Hyliion Holdings Corp. (HYLN): Hyliion makes a fuel-flexible generator called KARNO that turns heat from over 20 fuel types—like natural gas, hydrogen, or biogas—into electricity with low emissions and little maintenance. The company shifted from making truck powertrains to focusing entirely on this clean, modular power system for industries, data centers, and other off-grid uses.

It recently signed a $1 billion deal to supply power modules to Saudi Arabia's Alkhorayef Industries, with initial deployment targeted for 2026. Hyliion also secured a $1.5 million contract with the US Navy for its power modules.

The company's compact power generators are ideal energy sources for ships and stationary military sites—plus, they qualify for a 30% Investment Tax Credit under the One Big Beautiful Bill Act, which could spur more sales contracts with the defense industry.

2. ADS-Tec Energy PLC (ADSE): ADS-Tec makes compact fast-charging systems for residential and commercial sites that aren't ideal electric vehicle charging station locations, since the system allows for up to 300 meters between the grid connection point and the charger.

ADS-Tec is narrowing its operating losses even as it expands in Austria and Germany. As of May, ADS-Tec's customer base had grown by over 200% year over year.

3. Eos Energy Enterprises (EOSE): Eos designs and builds battery systems with US energy independence in mind. About 90% of the materials used in conventional lithium-ion batteries are sourced from outside the United States—predominantly China.

By contrast, Eos uses locally available materials for more than 90% of its "aqueous zinc" battery components. This minimizes international supply chain risks.

Eos recently reported record quarterly revenue, up 17X year over year. In a single quarter, Eos almost matched 2024's full-year revenue.

4. Vicor Corp. (VICR): Vicor targets the AI data center and industrial automation markets with its high-density, high-efficiency power converters. Sales are up 64.3% year over year, with Vicor swinging from a net loss of $1.2 million in Q2 '24 to a profit of $41.2 million last quarter.

Vicor stands to benefit from the continued buildout of data center infrastructure. Tech companies operating these power-hungry data centers will look for any way to optimize their energy consumption. That's where Vicor's products excel.

5. Energy Recovery (ERII): Energy Recovery specializes in energy-efficiency technologies for desalination, wastewater, and CO_2 refrigeration—sectors that will indirectly benefit from higher electricity demand and sustainability pressures.

Energy Recovery landed fifth on our leaderboard due to its 247% quarterly revenue growth. Yet this was largely because the company's weak Q1 results made such a low baseline.

Revenues are actually down 8% year over year when we compare the first half of 2025 to same period in 2024.

Fastest-growing power stocks in America							
Rank	Ticker	Name	Description	Market Cap (billions $)	Stock Price	Revenue Growth	GARP Quotient
1	HYLN	Hyliion Holdings Corp.	Power generators & storage	0.41	$2.37	527%	26.08
2	ADSE	ADS-TEC Energy PLC	Fast-charging EV stations	0.80	$15.61	159%	2.44
3	EOSE	Eos Energy Enterprises, Inc.	Energy storage	1.31	$6.02	96%	16.75
4	VICR	Vicor Corporation	Modular power systems	2.33	$51.54	94%	2.94
5	ERII	Energy Recovery, Inc.	Energy-efficiency tech	0.86	$14.77	55%	127.35

For the most up-to-date guidance on our current positions, click here to view the portfolio online.

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